

RBI keeps interest rates unchanged. But what will dictate policy action?

In its August meeting, the RBI's monetary policy committee voted **unanimously** to keep the **benchmark policy repo rate** unchanged — it **stands at** 5.5 per cent. **Alongside**, the members also voted to continue with the **neutral stance**. The **decision**, which came after the MPC had **frontloaded** the rate cuts in its previous meeting — in June it had reduced the rate by 50 **basis points** — **was** expected, **given** the **prevailing** global and domestic environment. As RBI Governor Sanjay Malhotra said, "the current **macroeconomic** conditions, **outlook** and uncertainties **call for** continuation of the policy".

The central bank's **forecasts** **accompanying** the August policy **indicate** that **inflationary pressures** in the economy are expected to remain **muted**. The RBI has, in fact, lowered its inflation forecast for the year to 3.1 per cent, from 3.7 per cent earlier. In recent months, food price pressures have **eased considerably**, and a good monsoon season and trends in kharif **sowing** indicate that the outlook is **benign**. **Core inflation**, which excludes food and fuel, **has**, however, **inched** upwards to 4.4 per cent in June. But the price pressures are not **broadbased**. Inflation was muted in several non-food categories such as clothing and footwear, household goods and services. But the central bank's forecasts have **pegged** inflation to rise to 4.4 per cent in the fourth quarter of 2025-26 and further to 4.9 per cent in the first quarter of 2026-27, as "**unfavourable base effects**, and demand side factors from policy actions **come into play**". With some **projecting** inflation at around 4.5 per cent in 2026, which translates to a real interest rate of around 1 per cent, it reduces the **space** for further rate cuts.

On the issue of growth, it is surprising that the central bank has **retained** its **projections**. It continues to forecast that the economy will grow at 6.5 per cent this year, **in line with** its expectations in April and June, even as the global environment has changed **considerably** since then. US President Donald Trump's trade and tariff policies have already **led to** some **analysts** lowering their **estimates** of growth. The RBI **acknowledges** these concerns. Governor Malhotra **pointed to** the **uncertainty** of "external demand", and the **headwinds** from "**geopolitical tensions**" and "**volatility** in global financial markets". **Considering** that the uncertainty over tariffs continues, and that the **transmission** of the interest rate cuts **so far is** still working through the system, further policy action will possibly depend on whether growth and/or inflation **deviate** significantly from the central bank's current **assessment**.

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

[Practice Exercise]

Vocabulary

1. **Dictate** (verb) – determine, decide, command, prescribe, influence निर्धारित करना / आदेश देना
2. **Unanimously** (adverb) – collectively, with one voice, without opposition, in agreement, all together सर्वसम्मति से
3. **Benchmark repo rate** (noun) – It refers to the interest rate at which RBI lends funds to the commercial banks. मानक रेपो दर
4. **Stand** (at) (verb) – be at, remain at, rest at, lie at, reach स्थित होना / होना
5. **Alongside** (adverb) – together with, in parallel, at the same time, simultaneously के साथ-साथ
6. **Neutral** (adjective) – unbiased, impartial, balanced, non-aligned, objective तटस्थ
7. **Stance** (noun) – position, attitude, approach, viewpoint, outlook रुख / स्थिति
8. **Frontload** (verb) – advance, prioritize, pre-schedule, bring forward पूर्व में करना / पहले लागू करना
9. **Basis point** (noun) – 100 basis point = 1%
10. **Given** (preposition) – considering, taking into account, based on, due to को देखते हुए
11. **Prevailing** (adjective) – existing, current, dominant, widespread, ongoing वर्तमान
12. **Macroeconomic** (adjective) – related to the overall economy, national economy, large-scale economic factors सामूहिक आर्थिक
13. **Outlook** (noun) – forecast, perspective, expectation, view, scenario दृष्टिकोण
14. **Call for** (phrasal verb) – require, demand, necessitate, ask for माँग करना
15. **Forecast** (noun) – prediction, projection, estimate, outlook, prognosis पूर्वानुमान
16. **Accompany** (verb) – go with, come with, be associated with, follow साथ में होना
17. **Inflationary pressure** (noun) – the economic forces that push prices upward, leading to a general increase in the price level of goods and services within an economy मुद्रास्फीतिक दबाव
18. **Muted** (adjective) – subdued, low, soft, restrained, mild कम / नियंत्रित
19. **Ease** (verb) – reduce, lessen, moderate, relieve, soften कम करना
20. **Considerably** (adverb) – significantly, substantially, greatly, markedly, noticeably काफी हद तक
21. **Sowing** (noun) – planting, seeding, cultivation, agriculture preparation बुवाई

22. **Benign** (adjective) – favourable, positive, harmless, mild, kind अनुकूल
23. **Core inflation** (noun) – inflation excluding food and fuel prices मूल मुद्रास्फीति
24. **Inch** (verb) – move slowly, creep, rise gradually, progress slightly धीरे-धीरे बढ़ना
25. **Broadbased** (adjective) – widespread, inclusive, extensive, general व्यापक
26. **Peg** (verb) – fix, set, tie, anchor, determine निश्चित करना / तय करना
27. **Unfavourable** (adjective) – adverse, negative, harmful, detrimental, problematic प्रतिकूल / अनुकूल नहीं
28. **Base effect** (noun) – distortion in inflation comparison due to low/high base in previous period आधार प्रभाव
29. **Come into play** (phrase) – become relevant, start to affect, be activated, apply लागू होना / प्रभावी होना
30. **Project** (verb) – estimate, predict, forecast, anticipate, expect अनुमान लगाना
31. **Space** (noun) – scope, room, leeway, margin, flexibility गुंजाइश
32. **Retain** (verb) – keep, maintain, preserve, hold on to बनाए रखना
33. **Projection** (noun) – forecast, estimate, outlook, prediction पूर्वानुमान
34. **In line with** (phrase) – in agreement with, consistent with, according to, matching के अनुरूप
35. **Considerably** (adverb) – [Repeated] – significantly, substantially, greatly, markedly काफी हद तक
36. **Lead** (to) (verb) – result in, cause, bring about, give rise to कारण बनना
37. **Analyst** (noun) – expert, evaluator, assessor, commentator, specialist विश्लेषक
38. **Estimate** (noun) – approximation, projection, guess, assessment अनुमान / आंकलन
39. **Acknowledge** (verb) – recognize, admit, accept, concede स्वीकार करना
40. **Point to** (phrasal verb) – indicate, highlight, refer to, signal इशारा करना / इंगित करना
41. **Uncertainty** (noun) – unpredictability, doubt, instability, ambiguity, risk अनिश्चितता
42. **Headwind** (noun) – obstacle, challenge, resistance, hindrance प्रतिकूल परिस्थितियां
43. **Geopolitical** (adjective) – related to international politics, global strategic issues भूराजनीतिक

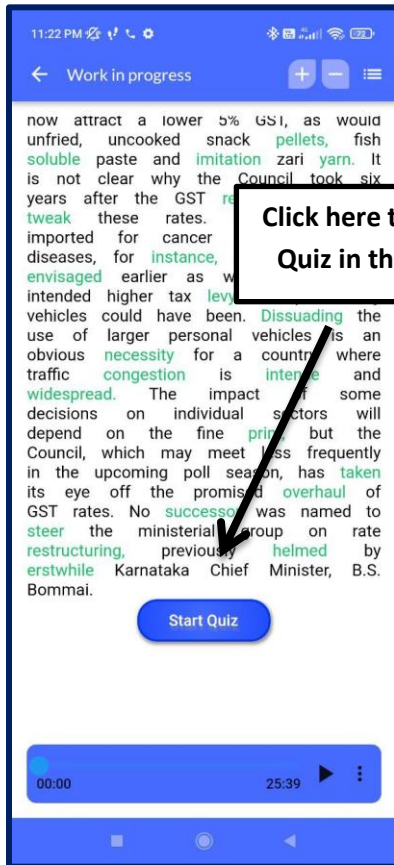
44. **Volatility** (noun) – instability, fluctuation, unpredictability, inconsistency अस्थिरता / उतार-चढ़ाव
45. **Considering** (preposition) – taking into account, given, in view of, bearing in mind को ध्यान में रखते हुए
46. **Transmission** (noun) – pass-through, transfer, spread, conveyance संचरण / प्रवाह
47. **So far** (phrase) – until now, up to this point, as yet, till date अब तक
48. **Deviate** (verb) – diverge, differ, stray, veer off भटकना / अलग होना
49. **Assessment** (noun) – evaluation, analysis, judgment, review मूल्यांकन

@mocks_wallah

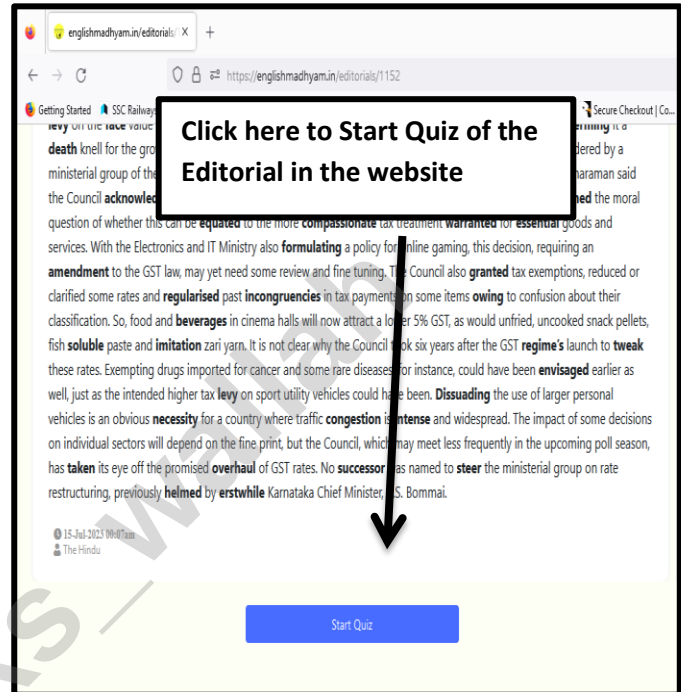
Summary of the Editorial

1. Repo rate status: In its August meeting, the RBI's Monetary Policy Committee (MPC) kept the repo rate unchanged at 5.5%, with a neutral stance.
2. Unanimous decision: All members of the MPC voted unanimously to maintain the status quo, after a 50 basis point cut in the June meeting.
3. Reasoning: The RBI cited current macroeconomic conditions, global uncertainties, and domestic outlook as reasons for holding the rate.
4. Inflation forecast cut: The inflation forecast for the year was reduced from 3.7% to 3.1%, suggesting muted inflationary pressures.
5. Food price stability: Easing of food prices and a good monsoon have contributed to a benign inflation outlook.
6. Core inflation rises: Core inflation (excluding food and fuel) rose to 4.4% in June, although pressures aren't broad-based.
7. Muted inflation areas: Categories like clothing, footwear, household goods, and services have seen low inflation.
8. Future inflation projections: The RBI expects inflation to rise to 4.4% in Q4 2025-26 and 4.9% in Q1 2026-27, due to base effects and policy-driven demand.
9. Real interest rate: With inflation projected around 4.5%, the real interest rate may be about 1%, limiting the room for more cuts.
10. Growth forecast unchanged: Despite global uncertainties, the RBI maintained its GDP growth forecast at 6.5% for the current year.
11. Surprising stance: The unchanged growth forecast is surprising given the changing global economic environment.
12. Global headwinds: Trump's trade and tariff policies have prompted analysts to lower global growth expectations.
13. RBI's concerns: The central bank acknowledged external demand uncertainty, geopolitical tensions, and financial market volatility.
14. Transmission lag: The impact of previous rate cuts is still unfolding, which affects further monetary decisions.
15. Future policy depends on deviation: Any future RBI action will depend on whether growth or inflation significantly deviate from current projections.

Practice Exercise: Banking Pattern Based



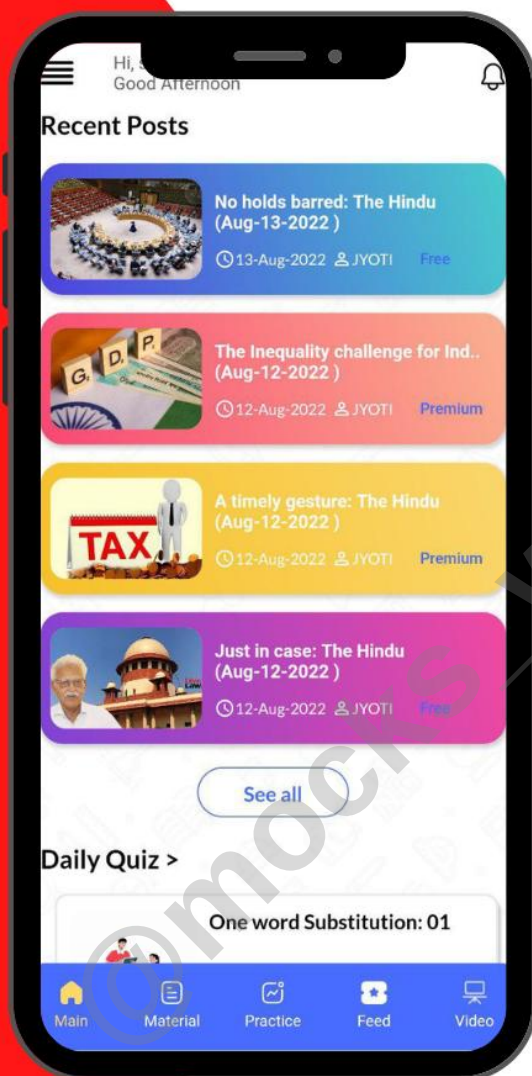
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